

U.S. stocks and a composite of developed market international stocks have had almost the same return in their native currency. When the value of the dollar rose during a specific period, U.S. investors profited from more U.S. stocks than from international stocks. The opposite was true when the dollar fell. During the period from 1995 to 2001, the dollar was strong against other major currencies, and the U.S. stock market outperformed international stocks. U.S. stocks did not keep up with international stocks for the remainder of the decade as the dollar weakened.

GLOBAL MARKETS AND INTERNATIONAL INVESTING

International stocks are often referred to as “foreign” stocks and less frequently as “overseas” stocks. It is all the same. International companies have their corporate headquarters located outside the United States. Their primary accounting currency is the currency native to the country of their corporate headquarters.

The media often refer to large companies with a worldwide presence as multinational firms. However, technically there is no such thing. For accounting and tax purposes, a company is domiciled in only one country and reports earnings in its native currency.

All foreign companies list their shares on a local stock exchange, and many larger companies list their shares on exchanges outside their native land, to increase ownership. When foreign companies list shares on a U.S. stock exchange, they do it through American Depositary Receipts (ADRs). ADRs represent shares of foreign stock held on deposit in a U.S. bank. The bank converts the shares into U.S. dollar-denominated ADRs, which trade alongside U.S. securities on the NYSE and Nasdaq. As an aside, many large U.S.-based corporations also list their shares on foreign exchanges, such as those in London and Tokyo.

Global equity mutual funds invest in both U.S. and international companies. Selecting a global index fund is a good option if you have only a little money to invest and want to have some international exposure without having to buy both a U.S. stock index fund and an international stock index fund. However, with a global index fund you do not have control over the country or regional allocation of your investment. The amount owned in each country is based on the value of that country in